

5-2d Sales Transactions

Revenue from merchandise sales is usually recorded as *Sales*. Sometimes a business may use the titles *Sales Revenue* or *Sales of Merchandise*.

Cash Sales

A retail business may sell merchandise for cash. Cash sales are normally entered on a cash register and recorded in the accounts. To illustrate, assume that on March 3, **NetSolutions** sells merchandise for \$1,800. These cash sales are recorded as follows:

Using the perpetual inventory system, the cost of goods sold and the decrease in inventory are also recorded. In this way, the inventory account indicates the amount of inventory on hand (not sold).

To illustrate, assume that the cost of goods sold on March 3 is \$1,200. The entry to record the cost of goods sold and the decrease in the inventory is as follows:

Sales may be made to customers using

debit cards (Cards used for electronic payment by which the money required by the purchase is deducted instantly from the customer's bank account.)

, sometimes called

bank cards (Cards used for electronic payment by which the money required by the purchase is deducted instantly from the customer's bank account.)

. When a customer uses a debit card, the money required by the purchase is deducted instantly from the customer's bank account. For this reason, debit card sales are recorded as cash sales.

Sales may also be made to customers using credit cards such as Mastercard or Visa. Credit card sales are normally processed by a clearinghouse that contacts the bank that issued the card. The issuing bank then electronically transfers cash directly to the retailer's bank

account. Since the retailer normally receives cash within a few days of making the sale, credit card sales are also recorded as cash sales.

[Link to Dollar Tree](#)

Dollar Tree normally receives cash from credit card sales within three business days, and thus records credit card sales as cash sales.

If a retailer allows customers to use debit or credit cards to pay for purchases, the retailer may be charged processing fees by the clearinghouse or issuing bank. Such fees are periodically recorded as an expense. To illustrate, assume that a company pays credit card processing fees of \$4,150 on October 31. These fees would be recorded as follows:

Instead of using Mastercard or Visa, a customer may use a credit card that is not issued by a bank. For example, a customer might use an American Express card. If the seller uses a clearinghouse, the clearinghouse will collect the receivable and transfer the cash to the retailer's bank account, similar to the way it would have if the customer had used Mastercard or Visa. Large businesses, however, may not use a clearinghouse. In such cases, nonbank credit card sales must first be reported to the card company before cash is received. Thus, a receivable is created with the nonbank credit card company. However, because most retailers use clearinghouses to process both bank and nonbank credit cards, all credit card sales will be recorded as cash sales.

[Link to Dollar Tree](#)

Dollar Tree only accepts cash, checks, credit cards, and debit cards from its customers.

Sales on Account

A retail business may sell merchandise on account. The seller records such sales as a debit to Accounts Receivable and a credit to Sales. To illustrate, assume that NetSolutions sold merchandise on account to Digital Technologies for \$18,000, terms n/30. The cost of the merchandise sold was \$10,800. **NetSolutions** would record the sale on account as follows:

NetSolutions would record the receipt of Digital Technologies' payment on April 9 as follows:

Link to Dollar Tree

Because **Dollar Tree** does not sell merchandise to customers on account, but only accepts cash, checks, credit cards, and debit cards, it did not report any accounts receivable on a recent balance sheet.

Sales Incentives, Promotions, and Discounts Retailers frequently offer sales incentives, promotions, and discounts to increase sales. For example, a seller might offer customers discounts to purchase early or in large volumes. Discounts may also be offered to encourage customers to pay early. The accounting for these types of sales discounts is discussed in [Appendix 1](#) at the end of this chapter.

Sales incentives and promotions are often distributed by retailers through newspapers, magazines, the Internet, and direct mailings. Such incentives and promotions often take the form of coupons and rebates. A

coupon (A sales incentive or promotion that provides the customer a discount when purchasing a product.)

provides the customer a discount when purchasing a product(s). A

rebate (A sales incentive or promotion that provides the customer a refund after the product is purchased.)

provides the customer a refund after the product is purchased. The accounting for a coupon or rebate depends upon its terms and how it can be redeemed by the customer.

A coupon has no value and the retailer has no obligation until a customer purchases merchandise and presents the coupon. As a result, no liability (journal entry) is recorded by the retailer when the coupon is issued. Instead, the retailer reduces sales (revenue) by the amount of the coupon at the time of sale. These types of coupons are commonly issued by companies such as **Bed Bath & Beyond (BBBY)** and **Michaels (MIK)** and are referred to

as

point-of-sale coupons (Coupons that have no value and the retailer has no obligation until a customer purchases merchandise and presents the coupon.)

To illustrate, assume Welborn Stores offers a coupon on its website for \$3 off the customer's next purchase of \$15 or more. Assume that Becky Lewis purchases \$45 of merchandise, submits the \$3 coupon, and pays cash. The \$3 coupon reduces the revenue from the sale from \$45 to \$42 (\$45 – \$3 coupon). Assuming the merchandise cost Welborn Stores \$27, the sale would be recorded as follows:

If instead of \$3 off, the coupon had been for 10% off, Welborn Stores would have recorded a sale of \$40.50 [$(\$45 - (\$45 \times 10\%))$]. In both cases, the coupon reduces revenue at the time of sale.

In contrast, assume that a coupon is issued when customers purchase merchandise. The coupon appears on the bottom of the customer's sales receipt and may be redeemed for *future* purchases. In this case, when the retailer sold the merchandise, it incurred a future obligation (liability) to the customer. As a result, the retailer must estimate the dollar value of coupons that will be redeemed, reduce sales, and record a related liability.

To illustrate, assume that to stimulate summer sales Grande Stores prints a coupon on the bottom of its May 20Y6 sales receipts for \$3 off the customer's next purchase of over \$20. The coupons may be redeemed June 1–August 31, 20Y6. During May, Grande Stores sold merchandise for \$40,000,000, which generated 6,000,000 sales receipts. The cost of the merchandise sold was \$21,500,000. Grande Stores estimates that 20% of the coupons will be redeemed before they expire on August 31. If Grande Stores accepts only cash, Visa, or Mastercard, it would record its May 20Y6 sales as follows:

As of May 31, 20Y6, Grande Stores has incurred a current liability, called

Estimated Coupons Payable (A current liability account for the estimated amount of coupons printed out with sales receipts that will be redeemed by customers.)

, to its May customers who may redeem its \$3 coupons. Since it is estimated that only 20% of its May customers will redeem a coupon, 1,200,000 coupons (6,000,000 sales receipts × 20%) are estimated to be redeemed. Because each coupon is for \$3, the estimated coupon liability is \$3,600,000 (1,200,000 coupons × \$3). This estimated liability reduces the gross sales of \$40,000,000 to \$36,400,000 (\$40,000,000 – \$3,600,000).

When customers redeem the coupons, the Estimated Coupons Payable is decreased. To illustrate, assume that during June, Grande Stores sold \$52,500,000 of merchandise that cost \$28,100,000 and that 800,000 of the May coupons were redeemed. Grande Stores would record its June sales as follows:

Grande Stores would record its July and August sales in a similar manner.

Since the May coupon liability is based on an estimate, Estimated Coupons Payable may have a balance on August 31, 20Y6. To illustrate, assume that on August 31, 20Y6, Estimated Coupons Payable has a credit balance of \$175,000. Since the coupon period has expired, Grande Stores does not have any further coupon liability to its customers. As a result, the Estimated Coupons Payable credit balance of \$175,000 should be added back to Sales as follows:

If on August 31, 20Y6, Estimated Coupons Payable had a debit balance of \$50,000, Grande Stores would have underestimated the percent of coupons that were redeemed. As a result, Grande Stores would decrease its Sales by making the following entry on August 31:

After the coupon period has expired, Estimated Coupons Payable should have a zero balance.

Rebates normally entitle customers to receive cash if they mail in a coupon, receipt of purchase, and barcode from the item purchased. Mail-in rebates are normally distributed to customers in the form of a check or pre-loaded Visa or Mastercard. Retailers often advertise merchandise net of the rebate. For example, Mike's Appliances might advertise a Whirlpool side-by-side refrigerator with a retail list price of \$1,799 for \$1,499 with a \$300 mail-in rebate.

The accounting for rebates is similar to that for coupons.

Instant rebates ([Rebates that may be redeemed at the time of purchase.](#)) , which are redeemed at the time of purchase, reduce the revenue at the time of sale. Mail-in rebates require the retailer to estimate the dollar value of rebates that will be redeemed, reduce sales, and record a related liability.

Sales Returns, Refunds, and Allowances

A buyer may return merchandise that is defective, damaged during shipment, or does not meet the buyer's expectations. If the buyer has already paid for the merchandise, the seller may pay the buyer a

cash refund ([An amount paid by the seller to the buyer for merchandise that is defective, is damaged during shipment, or does not meet the buyer's expectations.](#))

. If the buyer has an outstanding accounts receivable with the seller, the buyer may request an offset against the accounts receivable. A buyer could also keep the merchandise and request a partial refund or price allowance.

Link to Dollar Tree

Dollar Tree does not offer refunds; all sales are final.

At the end of the accounting period, a seller must estimate the amount of returns, refunds, and allowances that may have to be issued to customers in the future. Based upon this estimate, sellers record two adjusting entries:

1. The first adjusting entry decreases (debits) Sales and increases (credits) Customer Refunds Payable for the estimated refunds and allowances that will be granted to customers in the future.

Customer Refunds Payable (A liability account for estimated refunds and allowances that will be paid or granted to customers in the future.)

is a current liability for refunds and allowances that will be granted to customers.

2. The second adjusting entry increases (debits) Estimated Returns Inventory for merchandise that is expected to be returned and decreases (credits) Cost of Goods Sold.

Estimated Returns Inventory (A current asset account for the estimated amount of merchandise that will be returned by customers.)

is a current asset for merchandise that is expected to be returned by customers.

To illustrate, assume that on December 31, 20Y7, **NetSolutions** estimates that from 20Y7 sales it will have to refund or grant customers allowances of \$7,000 during 20Y8. In addition, NetSolutions estimates that \$5,500 of merchandise will be returned. Based upon these estimates, NetSolutions would record the following two adjusting entries on December 31, 20Y7:

The first journal entry decreases 20Y7 sales to an amount that is expected to be received from customers and establishes a related liability for customer refunds and allowances. The second journal entry recognizes the inventory that is expected to be returned and decreases the related cost of goods sold.

Assume that on March 4, 20Y8, Blake & Sons returned merchandise to NetSolutions with a selling price of \$1,800 for a full cash refund. The merchandise originally cost NetSolutions \$875. NetSolutions would record the cash refund and the return with the following two entries:

The first entry records the cash refund payment of \$1,800. The second entry records the receipt of the \$875 of returned merchandise by debiting Inventory and crediting Estimated Returns Inventory.

A buyer who has already paid for merchandise may decide to keep the merchandise and accept a partial refund from the seller. To illustrate, assume that in the prior example Blake & Sons agrees to keep the merchandise in return for a partial refund of \$900 from NetSolutions. In this case, NetSolutions would record the partial cash refund to Blake & Sons as follows:

A buyer who receives defective or damaged merchandise may not have paid for the merchandise. In other words, the seller has an outstanding account receivable balance due from the buyer. In this case, the seller may grant a sales allowance (A reduction in a customer's account receivable granted due to damaged or defective merchandise.)

against the customer's account receivable. When this is done, the seller sends the buyer a credit memorandum (A form used by a seller to inform the buyer of the amount the seller proposes to credit to the account receivable due from the buyer.)

, or

credit memo (A form used by a seller to inform the buyer of the amount the seller proposes to credit to the account receivable due from the buyer.)

, indicating its intent to credit the customer's account receivable.

Assume that instead of returning the merchandise, Blake & Sons agrees to accept a sales allowance of \$900. NetSolutions notifies Blake & Sons of its granting of the allowance by issuing the credit memo shown in [Exhibit 6](#).

Exhibit 6

Credit Memo

The credit memo indicates that NetSolutions intends to reduce (credit) Blake & Sons' accounts receivable by \$900. NetSolutions would record the granting of the customer allowance as follows:

The journal entries to record customer refunds, allowances, and returns are summarized in [Exhibit 7](#).

Exhibit 7

Journal Entries for Customer Sales Returns, Refunds, and Allowances

Link to Dollar Tree

Although all sales are final, [Dollar Tree](#) will “exchange” any unopened item with the original receipt.

Ethics in Action

The Case of the Fraudulent Price Tags

One of the challenges for a retailer is policing its sales return policy. There are many ways in which customers can unethically or illegally abuse such policies. In one case, a couple was accused of attaching a company's store price tags to cheaper merchandise bought or obtained elsewhere. The couple then returned the cheaper

goods and received the substantially higher refund amount. Company security officials discovered the fraud and had the couple arrested after they had allegedly bilked the company for more than \$1 million.

Source: *Jack L. Hayes International, Inc., 28th Annual Retail Theft Survey, 2016.*

Check up Corner 5-2

Sales Transactions

On December 30, Burrows Inc. sold \$12,000 of merchandise to Wall Company on account, with terms n/30. The merchandise cost Burrows \$8,000. On January 3, Wall determines that a portion of the merchandise received does not operate properly, and Burrows issues a credit memo for the returned items. The invoice amount of the returned merchandise is \$3,000, which cost Burrows \$2,000. Journalize the entries by Burrows to record (a) the December 30 sale, (b) the January 3 return, and (c) the receipt of the amount due from Wall on January 6.

Using Data Analytics

Sales

Retail businesses, such as **Target Corporation (TGT)**, use data analytics to answer questions such as the following:

- What are our best-selling products?
- What products are generating returns?
- What percent of our customers are using self-checkouts?
- What time of the day do we have the most sales?
- What percent of our customers use credit cards?
- What percent of our customers use debit cards?

Target has used data (predictive) analytics to improve the retail experience of its customers as well as to increase its sales. For example, Target uses data analytics to decide which products should earn shelf space in its brick-and-mortar stores and which are best serviced with its online sales app.

See TIF 5-8 for a homework assignment using data analytics.

Source: Dina Gerdeman, "On Target: Rethinking the Retail Website," *Forbes*, December 4, 2018, www.forbes.com/sites/hbsworkingknowledge/2018/12/04/on-target-rethinking-the-retail-website/#2690a20916fb.

Chapter 5: Accounting for Retail Businesses: 5-2d Sales Transactions

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